SKEMA GLOBAL BBA · 2026/27 · BUSINESS LAW (INTERNATIONAL)

WEEK 3 In-class session · Blocks A to D

Regulators and Product Liability

> Who is watching your company
> — and what happens when its product hurts someone?

A · Quiz	B · The argument	C · Your company's file	D · Decide and defend
20 min	70 min	60 min	30 min

WHERE WE ARE

Last week your board decided what your company is and what it sells. This week you find out who is watching it.

Every company is watched by public authorities.

They give permits, they inspect, and they punish.

And when a product hurts someone, that person can seek legal damages.

THE CASE FOR BLOCK B · RELLO IS A FICTIONAL COMPANY

Rello is a grocery delivery app. It delivers in fifteen minutes from small warehouses called "dark stores". Its couriers ride e-bikes. Rello is 18 months old, popular, and losing money in order to grow fast.

Rello rents e-bike batteries to its riders under the **Rello brand**. A supplier in another country makes them. Rello imports them. They charge overnight on racks in the dark stores.

On one Tuesday in March, four letters arrive.

1 · The labour inspectorate

"The app scores your riders and can switch them off. We are investigating whether they are really independent — or employees."

2 · The competition authority

"Three local grocers have complained. They say you sell below cost to push them out of business."

3 · The city fire authority

"You have 14 days to show that the battery-charging racks in two dark stores match your storage permit." A contractor installed the racks.

4 · The data regulator

"You collect rider location 'to route deliveries'. Why do you keep it for a year and use it to score riders?"

FOUR LETTERS, ONE COMPANY

QUESTION 1

Which authority can hurt Rello **fastest**? Which can hurt it **most**? Rank all four and explain your ranking.

QUESTION 2

The founder says: "We never harmed a customer. Prices are low, deliveries are fast, riders choose their hours." Does that answer any of the four letters?

PUSH FURTHER

All four rules existed on the day Rello launched. Should a founder know all of them before selling anything? What would that do to start-ups?

THE METHOD FOR THIS WEEK

Four moves, always in this order.

You will use them on every regulator problem today, including your own company's file after the break.

1 · Name the regulator

Which authority is writing to us? What can it do to us?

2 · Find the duty

What exactly must the company do? In which document is that written?

3 · Test the breach

Did the company break the duty? Does it matter whether it was careless?

4 · Decide, with conditions

What does the company do now? Who does it, and by when?

WHY MOVE 1 COMES FIRST

Do not start with "the law requires…" or "under GDPR…". Ask: which authority, using which document, with which powers? If you skip this, you may answer the wrong letter.

KEY WORD TODAY: INSTRUMENT

An **instrument** is the document where a duty is written: a law, a permit, a certificate — or a document the company wrote itself, like a privacy notice. Every duty has an instrument. Every instrument has an owner and a date.

FROM THE FILE

Look again at who sent each letter, and what each one can do.

The labour inspectorate

A state body. It can inspect and fine. Behind it stands a labour prosecutor, who can investigate, settle, or sue for all riders at once.

The competition authority

A national agency. It can demand documents and fine a share of turnover. Its letter only "invites a response to a complaint". Rello's lawyer says that is not an accusation.

The fire authority

Small and local. It issued Rello's storage permit. It is the only one with a deadline: 14 days.

The data regulator

It can audit Rello and order changes. Its letter quotes its own published enforcement policy.

QUESTION 1

One authority gave a permit. One watches a market. One watches a working relationship. One watches data. Match them. Which document (instrument) does each one rely on?

QUESTION 2

The smallest authority has the only deadline. Should Rello answer it first? Could that answer hurt Rello in the bigger files?

PUSH FURTHER

Rello's investors want "one regulatory strategy". Is that possible? Or does Rello need four strategies that do not contradict each other?

AUTHORITIES, NOT "THE LAW"

A company does not answer to "the law". It answers to specific authorities. Each has its own instrument and its own powers.

FROM YOUR READING · FOUR KINDS OF AUTHORITY

Permitting authorities give permission with conditions. They can change, suspend or cancel it.

Competition agencies investigate market behaviour and can order changes.

Labour enforcers can be inspectors, prosecutors, or both.

Data regulators audit how data is used and can order it to stop. Each asks a different question. An answer sent to the wrong one is useless.

In Rello's case

Four authorities, four instruments: a storage permit · competition law, applied to Rello's prices · employment law, applied to how riders really work · data law, measured against Rello's own privacy notice.

Who goes first?

The fire authority. It has a deadline, and permit rules are strict. But be careful: the other three will read whatever Rello writes. Write the first answer for four readers.

Findings travel

The same facts sit in all four files. If riders are found to be employees, Rello's costs go up — and that changes the pricing case. The regulators do not coordinate. Rello must.

The founder's sentence

"We never harmed a customer" speaks to one part of the competition letter. The permit, the riders and the data are not about customers at all.

THE HARD TRUTH

All four duties existed before Rello's first delivery.

The letters did not create them.

The letters are only the moment Rello found out.

FROM THE FILE · THE LABOUR LETTER

The law says: what counts is how the work really happens, not what the contract calls it. Attached to the complaint is Rello's own **rider agreement**. It promises that riders "may decline any delivery at their sole discretion". Next to it is a rider's screenshot: his score dropped after he refused two deliveries.

FROM THE FILE · THE DATA LETTER

The letter quotes Rello's own **privacy notice**: location is collected "to route your deliveries and keep riders safe". Next to it is an internal Rello dashboard that a rider obtained. Its title: "Performance Ranking (Location-Derived)".

FIND THE DUTY

QUESTION 1

In the labour letter, where is the duty written: in the law, or in Rello's own agreement? Which document hurts Rello most?

QUESTION 2

Rello's product team says scoring riders also "keeps riders safe", so the notice covers it. Read the notice as a rider would. Do you agree?

PUSH FURTHER

Rello wrote both documents to reassure people. Can a company reassure people in writing without creating a duty?

TWO KINDS OF INSTRUMENT

Two kinds of document create duties: documents written to the company, and documents the company wrote itself.

FROM YOUR READING

Written to the company (authorizations): permits, licences, certificates. The activity is legal only if the company follows the conditions. **Written by the company** (conduct documents): terms, privacy notices, codes of conduct, rulebooks. These are promises, and regulators and courts hold the company to them. About half of real cases come from this second kind.

In Rello's case

The law gives the rule. Rello's own documents give the test. The rider agreement promised that refusing a delivery costs nothing. The privacy notice gave one purpose for location data. Rello is measured against its own words.

How to find the duty

Find the exact words that matter, and say what each one promises. "At their sole discretion" promises a free choice. "To route your deliveries" names one purpose. The scoring system breaks the first. The dashboard goes beyond the second.

Strong words close doors

"Sole", "solely", "only", "any": companies use these words to reassure. Later, the same words block the company's defence. What counts is how the reader understands the words, not what the product team meant.

When practice contradicts the paper

If the company's system does the opposite of its document, the system is the evidence. The falling score shows the "free choice" was not free. Employment status is decided the same way: by the facts — who directs, who scores, what refusing costs — not by the label "partner".

THE HARD TRUTH

Nobody at Rello was careless.

The words were honest on the day Rello wrote them.

Then Rello changed how it works, and nobody updated the documents.

A company is judged on what its documents say today, as its readers understand them.

FROM THE FILE · TUESDAY'S LETTER · THE RACKS

Rello's storage permit says the charging racks must be "installed and maintained in conformity with the approved layout".

A contractor installed the racks in two stores. An inspector measured them: they stand **19 cm closer together** than the approved plan.
There was no fire and no accident. Rello's head of operations says: "The racks are certified. The contractor is licensed. Nothing has ever gone wrong.
Where is the breach?"

THURSDAY · A FIFTH LETTER — AND THIS ONE IS NOT FROM AN AUTHORITY

A Rello-brand battery caught fire overnight while charging in a rider's flat. The rider was burned. So was **the neighbour upstairs. She has never used Rello.**

Her lawyer demands compensation.

On the same day, the product-safety authority asks for samples of the batteries.
The head of operations says: "The batteries are certified. We audit the supplier. We did not even make them.

Where is our fault?"

A TAPE MEASURE, AND A FIRE

QUESTION 1

The racks are 19 cm off the plan. Nobody was hurt, and Rello did not know. Is it still a breach? Does it matter that Rello did not know?

QUESTION 2

The neighbour has no contract with anyone. Your reading gave three legal routes: privity, negligence, strict liability. Which one lets her win? What must she prove?

PUSH FURTHER

What was wrong with the battery: this one unit, the design, or the charging instructions? Rello did not make it — but Rello imported it and put its name on it. Does that matter? Would the answer change in another country?

BREACH IS A CONCLUSION

"Something went wrong" is a fact. "A duty was breached" is a legal conclusion. How you test it depends on the kind of duty.

FROM YOUR READING · FOUR KINDS OF DUTY

Strict conditions: you match the condition or you do not. Knowing and trying do not change the breach — only the size of the penalty.

Triggered duties: they start when a defined event happens.

Fact-pattern duties: they depend on how things really work, whatever the papers say.

Promise-measured duties: the company is tested against its own published words.

FROM YOUR READING · WHEN A PRODUCT HURTS SOMEONE: THREE LEGAL ROUTES

Privity (the oldest rule): only the buyer can sue.

Negligence: anyone who is hurt can sue, but must prove the maker was careless. That is hard, because the evidence is inside the maker's factory.

Strict liability (Justice Traynor, California): she proves two things only — the product was **defective**, and the defect **caused** the harm.

She does not need to prove carelessness.

There are three kinds of defect: **manufacturing, design, warning**.

In Rello's case · the racks

A permit condition is strict. 19 cm off the plan is a breach — even if nobody was hurt and nobody knew. The certificate and the contractor's licence do not help. The permit names Rello. Rello can give the work to a contractor, but not the duty.

In Rello's case · the battery

The neighbour bought nothing, so privity gives her no claim. Negligence is hard for her: the evidence is in a factory abroad. Strict liability fits. She proves the battery was defective and that it caused her burns. "Where is our fault?" is not a defence, because fault is not the test.

TWO MEANINGS OF "STRICT" — DO NOT MIX THEM UP

A **strict condition** (the racks): an authority enforces it. Not matching the condition is the breach. No harm is needed. **Strict liability** (the battery): an injured person sues. She needs a defect and harm. No fault is needed.

Which defect?

Manufacturing: this one battery was built wrong. **Design**: every battery of this model is unsafe — for example, no automatic cut-off. **Warning**: the risk was real, but riders were never told how to charge safely at home. Each is a different case with different evidence. A design defect means every battery is a problem.

Who pays, across borders?

The maker is abroad and hard to reach. Most legal systems then look at who put the product on the local market: the importer, and the brand on the product. Rello is both. But rules differ by country. Europe is also replacing its rules: new national laws are due by late 2026. Always ask: which country, and which date?

Where fault still matters

The racks: the breach is strict, but the penalty is not. A clean record, cooperation and a quick fix reduce it. Do not say "no breach". Say "breach — and here is why the penalty should be small". The battery: her lawyer will also claim negligence. Then what Rello knew about charging risks becomes evidence.

THE HARD TRUTH

Rello can be careful, profitable and harmless — and still break its permit for a year without knowing.

It can buy certified batteries from an audited supplier — and still pay for a battery it did not make. Good intentions are not compliance.

Someone in the company has to check.

From the file: two authorities offer Rello a way out.

The fire authority's offer

- No penalty, if Rello does three things:
- Fix the racks within 30 days.
- Sign a short acknowledgment "of the non-conformity identified".
- Pay for an outside check of the racks in all stores, every year.

The labour prosecutor's offer

- No court case about employee status, if Rello does three things:
- Publish how it scores riders.
- Add a human check before any rider is switched off.
- Guarantee active riders a minimum number of delivery offers.
- The deal covers every rider in the country. Each future violation brings a fine, with no court needed.

CHEAP TODAY, COSTLY LATER

QUESTION 1

In each offer, find the one term that keeps costing Rello after the dispute ends. Who will use that term later?

QUESTION 2

The founder wants to sign both by Friday: "Certainty. Move on." Rello's trial lawyer wants to sign neither: "Admissions. Handcuffs." What would you sign, remove, or change?

PUSH FURTHER

Rello signs a sentence admitting the racks did not match the permit. Who else would like to read that sentence? One of them wrote to Rello on Thursday.

HOW FILES REALLY END

Most regulator files do not end in a fine. They end in a negotiated deal — and every deal has a term that lasts longer than the dispute.

FROM YOUR READING · THREE QUESTIONS FOR ANY SETTLEMENT OFFER

What does it end? Only this authority's file. Not other authorities, and not private lawsuits.

What does it create? New long-term costs: publication, yearly audits, a wide scope. Your question page calls this "the term that outlives the file". It is rarely in the headline.

What does it prove? Anything Rello signs can be used by someone else. An admission helps the person suing Rello. A "voluntary pause" must be reported to investors.

In Rello's case · the racks offer

Fixing the racks and checking them every year is good. The danger is the signed acknowledgment. Since Thursday, someone is suing Rello over a charging fire. Her lawyer will use a signed admission about unsafe charging racks. Counter-offer: state the facts, admit no fault, and let Rello's lawyer write the sentence.

In Rello's case · the riders offer

Publishing the scoring rules and adding a human check fix the worst facts. They are good practice anyway. The danger is the guaranteed minimum of offers: that is what an employer gives an employee. And "every rider in the country" turns three complaints into rules for the whole workforce.

What "with conditions" means

Not "yes, but…". It means a concrete plan: the fix, with a date · the check, with a named owner · the wording agreed before signing · the scope made smaller before signing · a review date. Without these, a decision is only an announcement.

Why the order matters

A good deal with the smallest authority helps with the biggest one. It shows that the company can govern itself. So choosing which letter to answer first is already a decision.

THE HARD TRUTH

Refusing every offer is also a decision. The files stay open, and investors, buyers and licensors can see them.

A board that refuses must say what it gains. A board that signs must say who now runs operations: the company, or the agreement.

THE JUDGMENT QUESTION OF THE WEEK

Who does regulation protect — and from whom?

There are two readings. Both are true. A manager has to hold both at the same time.

Regulation protects people

- Every rule in Rello's week protects a real person: a rider who cannot afford to refuse a job, a grocer who cannot match prices below cost, the people living near a battery room, a person whose location is tracked — and a neighbour who never chose Rello.
- The rules come before the harm on purpose. If we wait for the lawsuit, we wait for the injury.
- The authorities are doing the job the law gave them.

Regulation is a burden

- Four sets of rules, four vocabularies, four deadlines. In practice, only companies that can pay for lawyers know them all.
- Every rule is a fixed cost. A big company can absorb it. A start-up may not.
- When nobody can know every rule, authorities choose whom to pursue. That is power.

BOTH ARE RIGHT

The founder is right: Rello harmed no customer.
The rider is right too: he was "free" only on paper.
One true sentence does not cancel the other.
Test each duty on its own, one document at a time.

TAKE THIS INTO YOUR OWN FILE

After the break, your board opens its own company's file. In all ten files the regulator is doing its job, and the company lost track of a duty that was written down — often in a document the company wrote itself.
Do not ask "why us?". Ask "which of our duties did we stop checking?" And before today ends, you will put your own product where Rello's battery was.

AI IS ON — AS A "REGULATORY ANALYST". IT MAPS. IT DOES NOT DECIDE.

Your board receives its company's file: a live dispute with an authority. Read the whole file together first.

1 · Sort — before any laptop opens

Your file prints two extracts from the same kind of document. Only one is the real subject of the dispute. Decide together which one, and name the fact that proves it.

2 · Map — with AI

Which authority is writing? Under which instrument? With which powers? Could other authorities get involved? For every duty the AI gives you, write one line by hand: **instrument · enforcer · date**. This is your "instrument line". You hand it in.

3 · Your own product — with AI

Describe the flagship product your board created last week.

Ask which regulators and duties apply to it, at home and in your biggest export market.

At least one duty on the AI's list will be wrong for your product, sector or country. Find it.

Explain why in your handwritten paragraph.

4 · Two things to distrust

Dates. These rules changed recently or will change soon.

Check the date of every instrument that matters.

Vague duties. If the AI cannot name the instrument behind a duty, it is not a duty.

IF THE AI GIVES YOU A RECOMMENDATION

Write it down and keep it. A question in Block D asks where your board disagreed with it. Remember: the AI has not seen this morning's news. You will.